

Trump tariffs send stocks plunging



THE LEAD-UP to President Trump’s tariffs announcement has caused volatility in the stock market in recent weeks. Above, cargo is moved during operations on Wednesday at the Port of Los Angeles in San Pedro.

Confusion over what president aims to achieve

BY KATE LINTHICUM

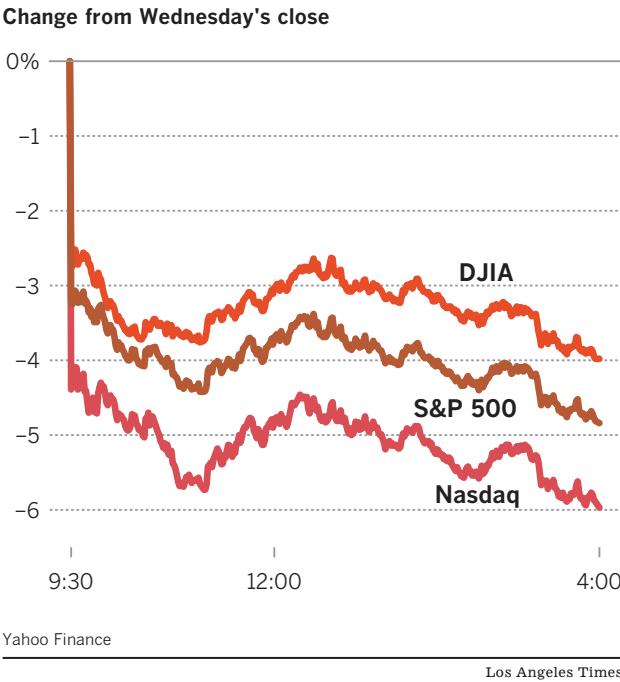
The wide-ranging new tariffs announced by President Trump on Wednesday represent the biggest change to global trade in a century, prompting urgent questions about how the new taxes were calculated, how long they will last and what exactly the White House hopes to achieve with them.

Confusion over the details — and the fact that the

rates Trump announced were much higher than most economists anticipated — has sent stocks tumbling and businesses and global leaders scrambling for clarity.

What are the tariffs?
Trump announced a baseline 10% tax on nearly all goods imported to the U.S. from every country in the world, undoing the decades-long era of mostly free global trade long sup-
[See Confusion, A5]

Market indexes sink Thursday



Countries plan to retaliate against the sweeping levies, raising specter of trade war

BY MICHAEL WILNER AND FAITH E. PINHO

WASHINGTON — The Trump administration is facing global blowback after announcing a dramatic series of tariffs on countries around the world, with U.S. adversaries and allies alike promising crushing responses that could devastate the American economy.

Stocks plummeted at the market's close Thursday, with the S&P 500, Dow Jones industrial average and Nasdaq Composite all reaching their lowest one-day drops since the economy tanked at the outset of the COVID-19 pandemic in 2020.

Trump shook off the reaction, predicting that markets and the U.S. economy “are going to boom.”

“I think it’s going very well,” Trump said to reporters Thursday, asked about the market reaction on the way to a golf tournament. Countries the world over, he added, “have taken advantage of us for many, many years.”

Trump also indicated that future tariffs on pharmaceuticals and chips are expected and suggested they may be used as a bargaining chip with other countries. “We put ourselves in the driver’s seat,” he said. “If we would have asked these countries to do us a favor, they would have said no. Now they will do anything for us.”

At a Rose Garden ceremony at the White House on Wednesday, Trump announced a 10% base rate hike on nearly all foreign imports. Still other countries and trading blocs, including China, the European Union, South Korea and Japan, were hit with higher rates.

Already, China — the world’s largest trading nation that Trump slapped [See Tariffs, A5]

Mexico, Canada differ in response

Sheinbaum takes more measured approach amid chaos. **PERSPECTIVES, A2**

Agenda worries some in O.C.

Even in Trump country, tariff plans are cause for anxiety. **CALIFORNIA, B1**

Region’s dual port complex could be hit hard

Economists warn of a slowdown in imports and exports affecting employment and economy in L.A. area.

BY LAURENCE DARMIENTO

The Los Angeles-Long Beach port complex is one of the nation’s leading arteries of trade, handling about a third of the nation’s container imports and exports, placing it at ground zero of President Trump’s trade war with the rest of the world.

With Trump’s across-the-board 10% tariffs worldwide and higher “reciprocal” tariffs imposed on a number of Asian trading partners, economists say it’s likely that one of the key drivers of the Los Angeles-area economy — trade — will be hit hard.

“The single most important part of the economy, in terms of employment, in terms of economic activity in the L.A. area, is logistics, basically the imports, exports, shipment of goods, and one of the second is manufacturing,” said economist Kevin Klowden of the Milken Institute in Santa Monica. “These tariffs are very, very important because they have a material effect on supply chains and everything else.”

The tariffs include additional duties of 24% on Japan, 25% on South Korea and a 34% tariff on China, on top of a 20% tariff that Trump imposed on that nation over illegal imports of the deadly drug fentanyl.

Canada and Mexico were excluded from both the baseline and “reciprocal” tariffs, which could ease the effect at the grocery store. Most U.S. produce imports come from Mexico and Canada, including avocados, cucumbers and mushrooms.

But the countries still face 25% levies on certain goods and 25% tariffs on imported cars and light trucks. Car buyers across South California scrambled this week to make purchases ahead of the tariffs.

It’s unclear how many of the tariffs will ultimately stick, as countries seek to negotiate with the Trump administration.

But the announcement Wednesday rattled in [See Ports, A8]



JOHNNIE, left, can’t afford an immigration lawyer for his niece Itzel. The administration recently ended contracts for services aiding 26,000 children in the U.S.

With legal aid under threat, more children at risk of deportation

Unaccompanied immigrants face a new reality as resources shrink under the Trump administration

BY RACHEL URANGA

The children sat on wooden benches bouncing their legs, clapping their hands and anxiously looking around the brightly lit courtroom.

“We are on the record,” Immigration Judge Audra

R. Behne said softly into the microphone. Their eyes peered up.

A teenage girl in a sparkly shirt smiled at her boyfriend. A 14-year-old boy in a denim jacket sat next to his aunt, whose teenage daughter was texting beside her. Another teenage girl with a heart emblazoned on

her sweatshirt leaned against her mom as they sat in the gallery.

They are among the dozens of children whose deportation cases come before Behne at the West Los Angeles Immigration Court every month. Many are facing a new reality as the Trump ad-
[See Immigration, A6]

From federal jail, he ran Pomona fiefdom

Trial shows how a Mexican Mafia leader held in L.A. called the shots for gangs in his hometown.

BY MATTHEW ORMSETH

In Pomona, Michael Lerma is a “mythical” figure, his attorney says.

Lerma, 68, hasn’t walked the streets of his hometown on the eastern edge of Los Angeles County since the 1980s, when he was con-

victed of murder and sentenced to life in prison. But according to federal prosecutors, he controls an “empire” of gang members and drug dealers who pay him a cut of their illicit profits.

Pomona was once a haven for millionaires called “Queen of the Citrus Belt.” Today, the lemon and orange groves are gone. Warring gangs with names such as Pomona Sur, Happytown, Ghetto Family, Cherryville and 12th Street have carved up its streets, killing each other over territory and old grudges.

[See Lerma, A10]

Death toll from January fires hits 30

Remains discovered Wednesday in Altadena are the first found east of Lake Avenue. **CALIFORNIA, B1**

Dodgers’ dream of perfection lives

Latest win makes baseball wonder if team will lose a game, writes Bill Plaschke. **SPORTS, B10**

Weather

Mostly sunny.
L.A. Basin: 70/49. **B6**

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Federal funding threat for schools

Trump administration pressures districts to comply with order on diversity. **NATION, A4**

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